

Case Study on UPI/Online Payment Frauds:

What is this Crime?

UPI (Unified Payments Interface) was an initiative launched by the Indian government to reduce payment processing time & boost digital payments, but some people exploit the loophole of the SOPs of the UPI or other Online payment System. UPI/Online Payments fraud is a common cybercrime in India where attackers trick innocent users into authorizing unauthorized transactions. It mainly occurs when victims are manipulated into revealing sensitive information or approving payments.

How this happens?

Incidents surrounding this crime usually begin when a scammer contacts the potential victim through a phone call, SMS, or messaging apps like WhatsApp, pretending to be legitimate bank representatives, delivery agents, or customer support personnel. The scammer creates a sense of urgency in the victim by telling them that their bank account will be blocked or that a refund is due, pressuring them into taking action. Next, they send a UPI "collect request" or ask the victim to scan a QR code, telling them that the issue will be resolved on depositing that amount of money. The victim goes through with the payment misled that the bank would receive the money. However, when the victim enters their UPI PIN, The transaction is authorized as a payment to the scammer. Within seconds, the victim's money is transferred out of their account.

Potential Targets:

The usual targets include people on different ends of the age spectrum, including but not limited to students, elderly individuals and people unfamiliar with digital payment systems. The targets are usually people who trust these messages very easily or may not have proper knowledge about the nature of how UPI's work or these crimes.

Consequences:

The consequences of these crimes include immediate financial loss for the victims, difficulty in recovering funds, emotional stress, and reduced trust in online payment systems. The above case highlights the importance of digital awareness, especially understanding that entering a UPI PIN always means sending money, not receiving it. Also the important point that Banks never ask for OTP's out of the blue. Those found to be guilty of these crimes can face up to three years or a fine up to one lakh rupees, with penalties differing based on the specific offense.